DEFINITION

Note to teacher:
There are TWO different ways in which to calculate depreciation. The learners often confuse these. It is important that they not only understand how to calculate the depreciation in the two different methods but that they also understand the concept and are able to apply this knowledge to different scenarios.

THE FIXED INSTALMENT METHOD

TASK 2.4 ☺ [LO 3; AS 3.3]

Year	Cost price	Rate of depreciation	Depreciation	Accumulated depreciation	Carrying (book) value
28:02:20.4	65 000	15% on cost	9 750	9 750	55 250 ✓
28:02:20.5	65 000	15% on cost	9 750	19 500	45 500 ✓
28:02:20.6	65 000	15% on cost	9 750	29 250	35 750 ✓
28:02:20.7	65 000	15% on cost	9 750	39 000	26 000 ✓

THE DIMINISHING BALANCE METHOD

TASK 2.5 ☺ [LO 3; AS 3.3]

Year	Cost price	Rate of depreciation	Depreciation	Accumulated depreciation	Carrying (book) value
28:02:20.2	220 000	20%	44 000	44 000	176 000 ✓
28:02:20.3	222 000	20%	35 200	79 200	140 800 ✓
28:02:20.4	220 000	20%	28 160	107 360	112 640 ✓
28:02:20.5	220 000	20%	22 528	129 888	90 112 ✓
28:02:20.6	220 000	20%	18 022	147 910	72 090 ✓

PRO RATA DEPRECIATION: FIXED INSTALMENT METHOD

TASK 2.6 ☺ [LO 3; AS 3.3]

Stewart Suppliers

2.6.1 (a) 80 000 x 15 = R12 000
20 000 x 15% x 1/12 = R250
R12 000 + R250 = **R12 250** ✓✓

(b) R35 000 + R12 250 = R47 250

2.6.2 80 000 – 20 000 x 15% = R9 000
20 000 x 15% x 1 /12 = R250
R9 000 + R250 = **R9 250** ✓✓

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PRO RATA DEPRECIATION: DIMINISHING BALANCE METHOD

TASK 2.7 ☺ [LO 3; AS 3.3]

Westart Dealers

2.7.1 (a) 250 000 – 120 000 (new vehicle has been recorded) – R100 000
R30 000 x 25% = R7 500 ✓✓
R120 000 x 25% for 8 months (as it is new there has been no depreciation written off prior to this calculation) = R20 000 ✓✓
Depreciation = R7 500 + R20 000 = R27 500 ✓

(b) R100 000 + R27 500 = R127 500

2.7.2 (a) 250 000 – 100 000 x 25% = R37 500 ✓✓
120 000 x 25% for 8 months (July to end of Feb) = R20 000 ✓✓

37 500 + 20 000 = 57 500 ✓